

ing further erodes their disposable income, making it difficult to save for a down payment, let alone manage the monthly mortgage burden.

Rahul Phondge, Chief Operating Officer of property consultant Anarock Group, says, "People who didn't buy homes during the pandemic have missed out on the opportunity of lower prices. However, if one is determined, making it possible now makes a lot more sense."

There are no immediate or even mid-term prospects of price corrections, according to Phondge. "Average residential property prices across the top 7 cities (Mumbai Metropolitan Region [MMR], Delhi NCR, Bengaluru, Hyderabad, Chennai, Pune, and Kolkata) have seen a

third-largest residential market, saw average prices per sq. ft. shoot up to ₹9,976 from ₹7,609—a 31% increase. Similarly, Kolkata saw a significant rise of 30% in average prices, climbing to ₹7,912 per sq. ft. from ₹6,081 in 2023.

Pune saw a 24% rise in average home prices per sq. ft between 2021 and 2023. Prices rose even more in Hyderabad, at 26%, reaching ₹11,083 per sq. ft. Ahmedabad, traditionally a more affordable market, witnessed an 18% rise.

In contrast, MMR, the largest market for residential homes in India, witnessed stable prices. The average price per sq. ft in MMR hovered around ₹20,000. It was ₹20,047 in 2023, showing only a 2%

A 2023 SURVEY BY CBRE SHOWS 70% OF MILLENNIALS ARE NOW INTERESTED IN BUYING A HOME

significant jump over the last year—between 10 and 32% in Q1FY24 when compared to Q1FY23, mainly due to an increase in the prices of construction raw materials and an overall rise in demand," adds Phondge. Hyderabad and Bengaluru recorded the highest annual jumps of over 32% and 25%, respectively.

PRICING TREND

According to data from real estate research consultant Colliers-Liases Foras, home prices in major Indian cities like have surged significantly in the last two years. Delhi-NCR saw the most dramatic increase, with average prices per square foot (sq. ft.) jumping 32% to ₹9,170 in 2023 from ₹6,958 in 2021.

Bengaluru and Kolkata also experienced substantial price increases. Bengaluru, traditionally India's

increase from ₹19,657 in 2021.

According to a survey by Knight Frank India, 41% of the home buyers in Mumbai as of September 2022 were in the age group of 26-41 years. It denotes that in the post-pandemic era, more and more millennials have become first-time homebuyers. Covid-19 has shifted millennials' spending habits from instant gratification to prioritising saving for home ownership, as remote and hybrid work arrangements underscored the importance of long-term financial planning.

Given this trend, waiting for prices to fall does not appear to be a feasible course of action. Rather, young first-time housing investors should look for the up-and-coming cheaper suburbs, and gain an early mover advantage. Demand and price growth get pushed to such ar-

Tips To Buy A Home



BUDGET Assess your financial health and future earning potential before you decide to purchase a house



ZERO IN ON A LOCATION

Proximity to workplace, schools, hospitals, etc., is a crucial factor, as it will impact your quality of life



ESTIMATE THE ACTUAL COST OF THE HOUSE Make an estimate of how much the actual cost will be. It includes expenses like registration, stamp duty, etc.



EXPLORE GOVERNMENT SCHEMES First-time homebuyers may get some subsidies under certain government housing schemes